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ON AUGUST 26, 2022, Odisha Chief Minister Naveen Patnaik flagged off the 'Startup Odisha Yatra 2.0', which passed through all 30 districts in the state. The mobile start-up incubator covered more than 100 higher educational institutions over a period of 60 days, collecting 1,300-plus start-up pitches from students. Seeing its success, the state government felt the principles and mindset of entrepreneurship should be instilled in more students from the grassroots level and launched a second campaign named 'Start-up Express', that has toured across 19 districts, and received about 1,270 ideas from school-going students.

Odisha's start-up drive is only a fragment of a grand narrative that is beginning to take shape in the country. From the buzzing tech hub of Bengaluru to the bustling metropolis of Mumbai and picturesque hills of Himachal Pradesh, a new wave of innovation is sweeping across India—and it's being driven by the state governments. With a renewed focus on fostering a start-up culture, they are taking bold steps to create a supportive ecosystem for entrepreneurs—from incubating them, providing funding and mentorship,

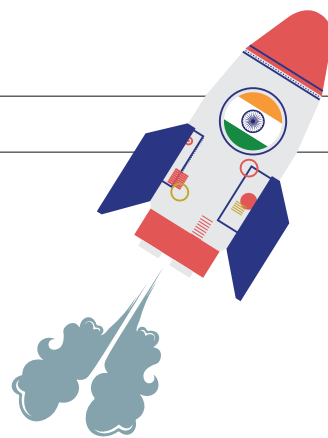
enabling market linkages to simplifying regulations for them.

From a mere 452 ventures in 2016, India has seen a veritable proliferation of start-ups, with nearly 90,000 new-age entities being recognised by the Department for Promotion of Industry and Internal Trade (DPIIT) as of January 24, 2023. About 30 of the 36 states and Union Territories in the country have formulated dedicated start-up policies.

Union Minister for Commerce and Industry Piyush Goyal, speaking at the recent National Startup Awards, said that the government today thinks like a start-up, relentlessly focussing on newer and better ideas. "Many more innovative ideas and initiatives must be nurtured to ensure that the nation grew at a much faster pace," he had said.

According to a report released in December 2022 by StrideOne, a tech-led financial services platform, the number of start-up registrations will grow at a CAGR of 25 per cent between 2022 and 2027. The report also says that start-ups will contribute about 4-5 per cent to India's GDP over the next three to five years, up from 2.5-3 per cent currently.

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FOSTERING CHANGE

▶ **Almost all states and Union Territories have dedicated start-up policies**

▶ **Around 58 per cent of the government-recognised start-ups are based in five states**

▶ **Maharashtra has the largest number of government-recognised start-ups**

▶ **Karnataka continues to attract the largest share of VC funding across states**

▶ **There is at least one start-up registered in over 75 per cent of the districts in India**

FOCUS ON SMALL TOWNS

For states with well-established start-up ecosystems, the next step is to expand the focus to smaller towns. For instance, Karnataka, known for having the most thriving start-up scene in the country, is looking to leverage its leadership position in the sector to become a strong contributor to the national GDP while establishing more start-up hubs across the state. C.N. Ashwath Narayan, Karnataka's Minister of Electronics, Information & Biotechnology and Science & Technology, says the government, with its new Startup